

HOW TO BUY?

In India, buying bonds directly is still a complicated task and comes with multiple obstructions. There are primarily a couple of ways in which bonds can be bought and sold. These are as follows-

OVER THE EXCHANGE

It refers to buying and selling in a manner that is similar to shares. NSE and BSE allow buyers and sellers to meet on the platform and transact. Similar to shares, demand, and supply on the platform decide the price of the share. However, in India, only a small fraction of bonds are traded over the exchange. Most others engage in trading over the counter.

OVER THE COUNTER

It refers to manually looking for buyers or sellers of the asset, getting in touch with them, and then negotiating a deal one-on-one. It is difficult for individuals to trade these bonds because they may not have the required connections to find the other party. Moreover, it requires minimum lot sizes. So, a person buying must buy at least 1 lot of a particular asset which will be worth a few lacs. A majority of the readers with only a few thousand to spend will never be able to invest in the securities.

To buy government bonds, we can use NSE or BID app. Today, new-age companies have been working on making the transaction of bonds relatively simpler. Zerodha has a few products on its platform and Capitalmind runs a website by the name of buybonds.in in India. However, these are not very well developed yet, and buying bonds and fixed income securities remains a difficult task and not within the ability of most individuals.

With this, we end our discussion on fixed income assets. In the next section, we will understand more about mutual funds and how it allows us to access the different asset classes and get help from experts in the field.